# State of the Union Financial Q&A: California

A comprehensive educational reference detailing specific tax codes, financial structures, and economic regulations native to the state of California.

### Q1: What is the highest marginal individual income tax rate in California?

**Answer:** California has the highest top marginal individual income tax rate in the country, reaching up to 13.3% for high earners, plus an additional 1% Mental Health Services Act tax on income over $1 million.

### Q2: What is California's Proposition 13?

**Answer:** Passed in 1978, Prop 13 limits base property taxes to 1% of the full cash value and restricts annual assessment increases to a maximum of 2% unless the property changes ownership.

### Q3: Are capital gains taxed differently from ordinary income in California?

**Answer:** No, California taxes capital gains as regular ordinary income at the state level, applying the same progressive marginal brackets.